SCHEDULE CBP

CAPACITY BIDDING PROGRAM

APPLICABILITY

The Capacity Bidding Program is a voluntary demand response program that offers customers various product options by which they can earn incentive payments in exchange for reducing energy consumption when requested by the Utility. This program schedule is available to bundled customers and customers being billed on a Utility commercial, industrial or agricultural rate schedule. It is also available to Direct Access ("DA") and Community Choice Aggregation ("CCA") customers. If the DA or CCA provider offers a demand response program deemed similar by the California Public Utilities Commission (CPUC) per Decision (D.)17-10-017 Order Paragraph 2, then this schedule will be closed to those customers within 30 days. Such DA or CCA customers will be disenrolled from this schedule within 1 year.

Service on this rate schedule must be taken in combination with the customer's otherwise applicable rate schedule. This rate schedule is available through a third-party Aggregator, to customers, or to other Qualifying Customers acting as a self-Aggregator. "Participant" as used in this schedule shall mean Utility customers participating in the Program or Aggregators participating in the Program.

Effective January 1, 2018, the following backup generation resources are prohibited (hereafter referred to as "Prohibited Resource") from providing load reduction during Demand Response events: distributed generation technologies using diesel, natural gas, gasoline, propane, or liquefied petroleum gas, in topping cycle Combined Heat and Power (CHP) or non-CHP configuration. Pressure reduction turbines and waste-heat-to-power bottoming cycle CHP, as well as storage and storage coupled with renewable generation will be allowed to be used during Demand Response events but must meet the relevant greenhouse gas emissions factor thresholds adopted for the Self Generation Incentive Program. If a Prohibited Resource is used during Demand Response events for operational, health or safety reasons, the Customer must agree to a Default Adjustment Value (DAV) described in Special Condition 17.

TERRITORY

Within the entire territory served by the Utility.

RATES

All charges and provisions of a participating customer's otherwise applicable rate schedule shall apply. All charges and provisions of a customer participating through an Aggregator shall apply. Customers who elect to sign up directly with the Utility for participation in the CBP will be paid at a maximum of 80% of the load reduction incentive payment. Aggregators will receive 100% of the load reduction incentive payment per the table below, which will be fixed for the Four-year program cycle (2024-2027) as of the effective date of this schedule.

All time periods listed are applicable to local time.

The Program's operational hours are from 1:00 p.m. to 9:00 p.m. during each of the Program's operational days. Products offered are Monday thru Saturday from 1:00 p.m. to 9:00 p.m. The program offers all ELECT product options for 1- 9 p.m.

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(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

RATES (Continued)

D

Elect Option (Mon-Sat): Open to non-residential participants. Aggregator nominates monthly capacity amount and can select among the three trigger prices ($200/MWh, $400/MWh and $600/MWh) within specified operating hours.

1. Capacity Incentive, Day-Ahead Program Option Monday-Saturday ($/kW-month):

Product	Hours	Price trigger ($/MWh)	May	June	July	August	September	October	
Elect option 1	1-9pm	$200	3.78	10.07	21.84	27.00	17.88	5.41	T
Elect option 2	1-9pm	$400	3.60	9.59	20.80	25.71	17.03	5.16	T
Elect option 3	1-9pm	$600	3.43	9.13	19.81	24.49	16.22	4.91	T

2. Capacity Incentive, Day-Of Program Option Monday-Saturday ($/kW-month):

Product	Hours	Price trigger ($/MWh)	May	June	July	August	September	October	
Elect option 1	1-9pm	$200	4.27	11.36	24.64	30.46	20.18	6.11	T
Elect option 2	1-9pm	$400	4.06	10.82	23.47	29.01	19.22	5.82	T
Elect option 3	1-9pm	$600	3.87	10.3	22.35	27.63	18.30	5.54	T

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

RATES (Continued)

Energy Usage Reduction Incentive, All Program Options (cents/kWh): D

The applicable Energy Usage Reduction Incentive to be applied when calculating the Energy Usage Reduction Incentive payments for the ELECT options will be based on the Day-ahead locational marginal prices (DA-LMP). The DA-LMP is defined as the California Independent System Operator (CAISO) DLAP or applicable pnode SDGE-APND day-ahead market locational marginal price (DAM LMP). In addition, the real time market price will be used to calculate the shortfall energy amount. The real time price is defined as the CAISO DLAP or applicable pnode SDGE-APND average hourly real time market locational marginal price (RT LMP).

See Energy Usage Reduction Incentive Payment Special Condition 6, for a further description of the calculation of the Energy Usage Reduction Incentive Payment, the development of the payment amount, and any payment amount adjustments.

SPECIAL CONDITIONS

1. Definitions: The Definitions of terms used in this schedule are found either herein or in Rule 1, Definitions.

2. Qualifying Customer: Customers electing to participate in the Program must meet and comply with all of the requirements for such participation as set forth in this Schedule. Participating customers must have the required metering and operable communications equipment installed prior to and while participating in the Program. See Metering Requirement Special Condition 13, for additional details. Participating customers must have the required notification equipment in place prior to participation in the Program. See Event Notification/Communication Special Condition 8, for additional details.

   a) Aggregators: In the event customers elect to participate in the Program via an Aggregator, such participation, and such Aggregator's participation in the Program, are subject to the terms and conditions of this schedule and Rule 30, Aggregators for the Capacity Bidding Program (CBP). Customers participating in the Program may designate only one Aggregator at a time for each participating meter and may change such designation only after the expiration of the Minimum Term in respect of such participating meter (unless terminated earlier, as set forth in Term, Special Condition 22). Prior to any changes in the designation or any termination of an Aggregator, a customer shall deliver to the Utility a "Notice to Add or Delete Customers by Aggregator" (Form 142-05303) notifying the Utility of such change or termination. T T T

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (continued)

b) Direct Access and Community Choice Aggregation Customers: The Utility will provide energy payments to Customers or Aggregators for load reductions from DA or CCA customers during CBP events. Customers and Aggregators will also receive capacity payments from the Utility for DA or CCA customers' load as applicable under this Schedule. T T D

3. Program Operation: Participants may nominate from among the following product types ("Products") under the Program.

Day-Ahead Products	Hours	Minimum Duration per Event	Maximum Duration per Event	Maximum Cumulative Event Duration Per Operational Month	Maximum Events Per Day	Maximum Events Per Month
2 to 4 hours	1pm to 9pm	2 hours	4 hours	24	1	6

Day-Of Products	Hours	Minimum Duration per Event	Maximum Duration per Event	Maximum Cumulative Event Duration Per Operational Month	Maximum Events Per Day	Maximum Events Per Month
2 to 4 hours	1pm to 9pm	2 hours	4 hours	24	1	6

- Emergency only events are defined as CAISO declared emergencies or for a utility system emergency.

Customers and Aggregators may nominate a different Product for each month of the Program's operational season (as set forth below). Aggregators may nominate any combination of Products for each such operational month in respect of the Nominated Load Reduction for such operational month. Each nominated Product must specify the portion of Nominated Load Reduction associated thereto without between nominated Products for such operational month. Customer participation within Day-Ahead and/or Day-Of product types is defined in Rule 41. T

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (continued)

3. Program Operation: (Continued)

The Program's operational season is from May 1 through October 31.

Each operational month of the Program begins and ends at the beginning and ending of such calendar month.

The Program's operational days are Monday through Saturday during the Program's operational season, excluding Utility holidays, as defined in Rule 1.

The Program's operational hours are from 1:00 p.m. to 9:00 p.m. during each of the Program's operational days. Products offered are Elect Day-Ahead and Day Of 1:00 p.m. to 9:00 p.m. T

a. Interruptible Period: Each interruptible period ("Event") shall be the period of time during which the Utility has informed the Participant to curtail energy consumption by use of a communications process utilizing equipment described in the Event Notification/Communication Special Condition 8.

b. Emergency Only Events: An Emergency Only Event is defined as an event that is called due to a CAISO alert or local Utility emergency when the program would not otherwise be available. For example, events called on Sundays, Holidays or after the maximum events per month has been reached will be considered Emergency Only Events. There is no limit on the number of Emergency Only Events called due to CAISO Alerts and/or CAISO Emergencies and for Utility system emergencies. T

c. Interruptible Period Termination: The duration of an Event will not exceed the time limit specified for the Product selected by the Participant, as outlined in the table under Special Condition 3, Program Operation. T T T

d. Load Reduction Nominations:

i. Generally: Participants must submit monthly nominations for the reduction of load ("Load Reduction Nominations") to the Utility no later than fifteen (15) calendar days prior to each Program operational month. All Load Reduction Nominations must allocate the amount of load reduction nominated among each Product nominated for such operational month (such nominated amount, the "Nominated Load Reduction"), without overlap of such Nominated Load Reduction among any such selected Product during such operational month. All Load Reduction Nominations are fixed for their associated operational month but may change from operational month to operational month. Participants may not submit Load Reduction Nominations unless all requirements specified in this schedule have been met.

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

3. Program Operation: (Continued)

ii. Additional Aggregation Requirements: Load Reduction Nominations submitted by Aggregators must differentiate the amount of Nominated Load Reduction for each nominated Product therein between Bundled customers and DA/CCA customers. A participating customer may be included in only one Aggregator's aggregated group/portfolio for a given operational month. No later than fifteen (15) calendar days prior to the first day of the operational month, each Aggregator must specify which participating customers are to be included in each Product set forth in such Aggregator's Load Reduction Nomination for that operational month. The aggregated group of participating customers for each nominated Product will be used to determine the Baseline (see Customer-Specific Baseline Special Condition 5) and associated Program performance during that operational month.

iii. Nominations Over 10 MW: Participants may submit a nomination greater than 10 MW within a single Product Option so long as additional information is provided to SDG&E that will enable SDG&E to create resources less than 10 MW to bid into the CAISO market. The additional information will not be used in the incentive payment calculations defined in Special Condition 6. Incentive payment calculations for nominations greater than 10 MW will be performed in the same manner as nominations less than 10 MW. T T

The additional information required for nominations greater than 10 MW consists of:

(a) A list of sub-resources.
(b) A list of service accounts in each sub-resource.
(c) The estimated load reduction for each sub-resource.

e. Cancellation of Nominations: Any changes or cancellations of Load Reduction Nominations for an operating month must be submitted by the Participant to the Utility not later than fifteen (15) calendar days prior to such operating month. If a Participant fails to nominate a load reduction for a Product for a particular operational month, then the default Nominated Load Reduction shall be zero (0). T

f. Third-Party Coordinators: Utility may contract with one or more third parties ("Coordinators") to assist Utility in the administering, coordination and/or scheduling of the Program and may designate such Coordinators as the sole point of contact in respect of such services by notifying the applicable Participants of such designation.

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

3. Program Operation: (Continued)

g. Program Triggers Day-Ahead Product:

i. The Utility may call an Event whenever the day ahead market price is equal to or greater than the trigger prices for each product listed in the table below or as utility system conditions warrant. Day-ahead market price is defined as California Independent System Operator (CAISO) DLAP or applicable pnode SDGE-APND day-ahead market locational marginal price (DAM LMP).

Day Ahead Product	Trigger Price ($/MWh)
1-9pm Elect option 1	$ 200
1-9pm Elect option 2	$ 400
1-9pm Elect option 3	$ 600

ii. Whenever the California Independent System Operator has issued an alert or warning notice, the California Independent System Operator shall be entitled to request that the utility, at its discretion, call a program event pursuant to this Schedule. D

iii. An Emergency Only event may be triggered in response to a CAISO alert, such as a CAISO EEA watch, EEA1, EEA2, EEA3, Flex alert or Utility declared emergency. Even if no products are available
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h. Program Triggers Day-Of Product:

i. The Utility may call an Event whenever the forecasted real time price is equal to or greater than or as Utility system conditions warrant. Real time price is defined as the CAISO DLAP or applicable pnode_SDGE-APND average hourly real time market locational marginal price (LMP).

Day Of Product name	Trigger Price ($/MWh)
1-9pm Elect option 1	$ 200
1-9pm Elect option 2	$ 400
1-9pm Elect option 3	$ 600

ii. Whenever the California Independent System Operator has issued an alert or warning notice, the California Independent System Operator shall be entitled to request that the utility, at its discretion, call a program event pursuant to this Schedule.

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

i. CBP Test Events:

A two-hour CBP Test Event may be called monthly within each calendar year per program (see Special Condition 3 Program Operation). All notification protocols, as well as all applicable credits and penalties, will apply during CBP Test Events. A CBP Test Event can be scheduled on a Day-Of basis, or on a Day-Ahead basis on Monday through Friday except holidays when the following conditions are met: T T T T

a. Test event is on a weekday during program hours after the 20th of the month;
b. If there has not been any form of dispatch in that given month;
c. If there has not been a test throughout the preceding month;
d. If previous event or test performance was below 75 percent of the presently nominated value;
e. There is not a state of emergency in California related to the grid; and,
f. There are not forecasted capacity shortfalls.

Participation during a Weekend, Holiday or Emergency event is entirely voluntary, and no financial penalties will result from not meeting or exceeding nominated targets during the event.

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

4. Program Availability: An Event may be called during the Program's operational season, operational days and operational hours as defined in Special Condition 3 above. D

   a. Limitation of Interruptible Periods: Events shall be limited as follows:

      i. Day-Ahead: For Participants selecting Day-Ahead Products, Events shall be called by the Utility with notice to such Participants not later than 5:00 p.m. on the day prior to the Event day. For example, Utility may notify Participants on Sunday by 5:00 p.m. for a non-holiday Monday event. Notices will be issued by 5:00 p.m. on the business day immediately prior to a holiday or weekend if a CBP Event is planned for the first business day following the holiday or weekend. The Events shall not exceed the maximum duration (in hours) corresponding with the Product nominated by the Participant as set forth in the table found in Special Condition 3 above. The maximum cumulative duration of an Event during any operational month shall not exceed 24 hours. The maximum number of events per month is six with additional emergency only events that may occur after the six maximum events are triggered. Emergency events are defined as CAISO declared emergencies or for a utility system emergency. The maximum number of consecutive days that events can be called is three. T T

      ii. Day-Of: For Participants selecting Day-Of Products, Events shall be called by the Utility with notice to such Participants not later than 40 minutes prior to the commencement of the Event. The Events shall not exceed the maximum duration (in hours) corresponding with the Product nominated by the Participant as set forth in the table found in Special Condition 3 above. The maximum cumulative duration of an Event during any operational month shall not exceed 24 hours. The maximum number of events per month is six with additional emergency- only events. Emergency events are defined as CAISO declared emergencies or for a utility system emergency. The maximum number of consecutive days that events can be called is three. T T

5. Customer Specific Baseline: In order to participate in the Program, Participants must have a valid baseline ("Baseline") for each Product nominated each day of an operational month, which Baseline must be established no later than fifteen (15) calendar days prior to the first day of such operational month of the Program. Baselines shall be established as follows:

   a. Non-Residential Customers for weekdays: The baseline is equal to the average electricity consumption (in MWh) of the participant during the applicable Program Event hour over the ten (10) immediately preceding similar days prior to the Program Event day. Similar days exclude weekends, holidays, and days when load reductions were requested (including Emergency Only events) or when outages were called.

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

5. Customer Specific Baseline: (Continued)

i. Aggregators: For Aggregators, the hourly load profile for the aggregated group of participating accounts on such day shall be determined by summing the hour by hour interval metering data for each participating account. The Baseline Hourly Energy Usage is equal to the average electricity consumption (in MWh) of the aggregated group of Participating Accounts during the applicable Program Event hour over the ten (10) immediately preceding similar days prior to the Program Event day. Similar days exclude weekends, holidays, and days when load reductions were requested (including Emergency Only events) or when outages were called.

ii. Day-Of Adjustment: Participants and Aggregators may choose to have their baselines calculated using a Day-Of Adjustment. The Day-Of Adjustment is calculated using the first three of the four hours prior to the event divided by the average load for the same hours using the last 10 weekdays for CBP participants. This Day-Of Adjustment shall not exceed plus or minus 40% of the Participant's calculated baseline. Participants must elect or opt-in to receive this adjustment. The Participant/Aggregator may select a baseline or a baseline with a day-of adjustment for each service account when they nominate for the operating month.

b). Non-Residential Customers for weekends/holidays: The baseline is equal to the average electricity consumption (in MWh) of the participant during the applicable Program Event hour over the two (2) immediately preceding similar days prior to the Program Event day. Similar days exclude weekdays and days when load reductions were requested (including Emergency Only events) or when outages were called.

i. Aggregators: For Aggregators, the hourly load profile for the aggregated group of participating accounts on such day shall be determined by summing the hour by hour interval metering data for each participating account. The Baseline Hourly Energy Usage is equal to the average electricity consumption (in MWh) of the aggregated group of Participating Accounts during the applicable Program Event hour over the two (2) immediately preceding similar days prior to the Program Event day. Similar days exclude weekdays and days when load reductions were requested (including Emergency Only events) or when outages were called.

ii. Day-Of Adjustment: Participants and Aggregators may choose to have their baselines calculated using a Day-Of Adjustment. The Day-Of Adjustment is calculated using the first three of the four hours prior to the event divided by the average load for the same hours using the last 2 weekends for CBP participants. This Day-Of Adjustment shall not exceed plus or minus 40% of the Participant's calculated baseline. Participants must elect or opt-in to receive this adjustment. The Participant/Aggregator may select a baseline or a baseline with a day-of adjustment for each service account when they nominate for the operating month.

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued) L

6. Incentive/Energy Payment and Non-Performance Penalties:

a. Capacity Payment:

i. If the Utility does not call an Event during an operational month, the amount of the capacity payment for such operational month is calculated by summing, for each Product nominated in such operational month, the product of the Nominated Load Reduction for such nominated Product and the capacity incentive rate as set forth in the table above for such nominated Product.

ii. If the Utility calls one or more Events during an operational month, the amount of the capacity payment for such operational month is calculated by summing the Adjusted Event Capacity Payment Amounts for each Product nominated in such operational month, which is calculated as follows: The "Unadjusted Hourly Event Capacity Payment Amount" for each Product nominated in such operational month is equal to the product of the Nominated Load Reduction for such nominated Product and the capacity incentive rate as set forth in the table above for such nominated Product, divided by the number of Event hours called during such operational month, and the "Adjusted Event Capacity Payment Amount" for each such Product nominated in such operational month is calculated based on the Actual Load Reduction (as defined in the Actual Load Reduction Special Condition 7) for such Product in such operational month: operational month, and the "Adjusted Event Capacity Payment Amount" for each such Product nominated in such operational month is calculated based on the Actual Load Reduction (as defined in the Actual Load Reduction Special Condition 7) for such Product in such operational month:

Participation during a Weekend, Holiday or Emergency event is entirely voluntary, and these events will not be included in the adjusted capacity payment calculation and therefore will not impact the capacity payment. N N N L

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

Hourly Delivered Capacity Ratio	Adjusted Hourly Capacity Payment or Penalty
Greater than or equal to 1.05	a) Adjusted Hourly Capacity Penalty = 0 b) Adjusted Hourly Capacity Payment = Unadjusted Hourly Capacity Payment * 1.05
Greater than 0.75 and Lower than 1.05	a) Adjusted Hourly Capacity Penalty = 0 b) Adjusted Hourly Capacity Payment = Unadjusted Hourly Capacity Payment * Hourly Delivered Capacity Ratio.
Greater than 0.6 and Lower than 0.75	Adjusted Hourly Capacity Penalty = 0 Adjusted Hourly Capacity Payment = Unadjusted Hourly Capacity Payment * 0.5
Greater than 0 and Lower than 0.6	a) Adjusted Hourly Capacity Payment =0 b) Adjusted Hourly Capacity Penalty = Unadjusted Hourly Capacity Payment * (0.6 – Hourly Delivered Capacity Ratio)
Lower than 0	a) Adjusted Hourly Capacity Payment =0 b) Adjusted Hourly Capacity Penalty = Unadjusted Hourly Capacity Payment * 0.6

If the capacity payment amount as calculated above yields an amount less than zero (i.e. a penalty amount), then such penalty amount shall be payable by Participant to the Utility in accordance with the Disbursement of Payments Special Condition 6.c. below. T T

b. Energy Usage Reduction Incentive Payment:

i. If the Utility does not call an Event for a given Product during an operational month, no monthly Energy Usage Reduction Incentive Payment for such Product is payable for such operational month. T

ii. If the Utility calls one or more Events during an operational month for a given Product, bundled customers enrolled directly with SDG&E or through Aggregators are eligible to receive a monthly Energy Usage Reduction Incentive. Payment for such Product is equal to the Actual Load Reduction for such Product times the Energy Usage Reduction Incentive as set forth in part 3 of the rates section are and adjusted as follows: T T T T T

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

6. Incentive/Energy Payment and Non-Performance Penalties: (Continued)

b. Energy Usage Reduction Incentive Payment:

ii. (Continued)

a) Shortfall Energy Amount: In the event of a Shortfall Energy Amount (as defined in the Actual Load Reduction Special Condition 7) for such Product and event hour the monthly Energy Usage Reduction Incentive Payment amount for such Product and event hour will be reduced by an amount equal to the product of such Shortfall Energy Amount and the real time LMP price as defined in Rates Section 3. If such calculation of Energy Usage Reduction Incentive Payment amount for such Product yields an amount less than zero (i.e. a penalty amount), then such penalty amount shall be payable by Participant to the Utility in accordance with the Disbursement of Payments Special Condition 6c. Should SDG&E call Emergency Only events the shortfall energy amount for the Emergency Only events will be set equal to zero.

b) Excess Energy: In the event that the Actual Load Reduction for such Product during an Event hour in such operational month exceeds the Nominated Load Reduction for such Product in such operational month (such excess amount, "Excess Energy Amount"), then the Energy Usage Reduction Incentive Payment amount for such Product will be capped at the nominated load reduction value multiplied by the Day-Ahead LMP price as defined by Rates section 3.

iii. Participation during a Weekend, Holiday or Emergency event is entirely voluntary, and no financial penalties will result from not meeting to exceeding nominated targets during the event.

Direct Access and Community Choice Aggregation are eligible for the Energy Usage Reduction Incentive payments and are subject to Energy Usage Reduction penalties. T T

c. Disbursement of Payments:

i. Customers: For customers participating directly with the Utility, the CBP incentive will be calculated based on the customer's Actual Load Reduction. In no case will a customer receive a credit payment for a given hour if it does not meet the minimum energy reduction threshold, as nominated in the monthly Load Reduction Nomination. The billing and payment of capacity payments and Energy Usage Reduction Incentive Payments, as well as all other amounts, charges, penalties and fees due and payable in respect of this Program, to or from customers participating in the Program will be paid by the Utility within 30 days after the end of the event operating month, but no more than 60 days after the end of the event operating month will be made in the course of customer's normal billing for services with the Utility consistent with Utility's tariffs.

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

6. Incentive/Energy Payment and Non-Performance Penalties: (Continued)

ii. Aggregators: The billing and payment of capacity payments and Energy Usage Reduction Incentive Payments, as well as all other amounts, charges, penalties and fees due and payable under this schedule, Rule 30 or the Aggregator Contract, to or from Aggregators are set forth in Rule 30.

d. Failure to Pay: In the event a participating customer fails to pay any amounts to the Utility as and when due, the rules governing such failure to pay, and the Utility's and such customer's rights and obligations therewith, as set forth in the Utility's tariff will apply. The Aggregator Contract will set forth the rights and obligations of the Utility and the Aggregator party thereto in respect of any failure to pay amounts as and when due to the Utility.

e. Customer Liability for Aggregator Failure to Pay. If, due to a Shortfall Energy Amount which results in a penalty to be paid by an Aggregator to Utility in respect of capacity payments and/or Energy Usage Reduction Incentive Payments, and such Aggregator fails (or is deemed to have failed) to fully pay to Utility such penalty amounts, and any security provided by such Aggregator is insufficient to cover such outstanding penalty amounts, then each customer represented by such Aggregator under the applicable Aggregator Contract will be liable for its pro rata share of such outstanding penalty amounts, which pro rata share will be based upon such customer's contribution to such Shortfall Energy Amount. T

7. Actual Load Reduction: A Participant's "Actual Load Reduction" during an Event hour for each Product nominated by such Participant is equal to:

a. In the case that such Participant is a customer participating directly with the Utility, the extent that the actual energy usage of such customer during such Event hour for such Product is less than such customer's Baseline for such Product.

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SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

7. Actual Load Reduction: (Continued)

   b. In the case that such Participant is an Aggregator, the extent that the actual energy usage of the aggregated group of customers during such Event hour for such Product is less than such aggregated group of customer's Baseline for such Product.

   c. In the event the Actual Load Reduction for such Product during an Event hour in such operational month is less than the Nominated Load Reduction for such Product in such operational month, such deficient amount is the "Shortfall Energy Amount" for such Product in such operational month.

8. Event Notification/Communication: Participating entities (customers, aggregators, ESPs) must, at their own expense, have access to the Internet and an e-mail address to receive Event notifications via the Internet. In addition, Participants must have, at their own expense, an alphanumeric device that is capable of receiving a text message sent via the Internet. Participants will be notified via the Utility's designated Internet website. As a courtesy, notification may also be given via pager, e-mail, or cellular telephone; however, the official notification shall be posted to the Utility's designated Internet website in accordance with the time parameters set forth herein. No Participating entity may participate in the program until all of these requirements have been met.

9. Event Cancellation: Once an Event has been initiated in accordance with the provisions herein, the Event will not be cancelled; however, the Event may be terminated as provided in the Interruptible Period Termination Special Condition 3.c.

10. Contract Requirement: Participating customers and Aggregators must execute all applicable agreements prescribed by the Utility prior to participation under this schedule. Necessary agreements may include the following:

    a. Aggregator Agreement for Capacity Bidding Program (CBP) (Form 142-05301) ("Aggregator Contract").

11. Multiple Program Participation: Eligibility for Multiple Program Participation is defined in Rule 41.

12. Termination of Schedule: This schedule is in effect until modified or terminated through the Utility's Demand Response Programs Portfolio Application proceeding. D D

13. Metering Requirement: Each participating customer must have a SDG&E Smart Meter installed. In certain circumstances an approved interval meter and approved meter communications equipment will be installed and read by SDG&E. The Utility must have access to the customer's meter data on a daily basis for a period of no less than ten (10) calendar days to establish a valid customer specific baseline.

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SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

13. Metering Requirement:(Continued)

An approved interval meter is capable of recording usage in 15-minute intervals and being read remotely by the Utility.

For customers with billed maximum demand of 20 kW or greater during one of the past 12 billing months, the Utility will, if required, provide and install the metering and communication equipment at no cost to the customer.

14. Utility Testing: At the Utility's discretion, a test event may be called each month within each calendar year for the purpose of testing the Program ("Test Events"). All notification protocols, as well as all applicable payments and penalties, will apply during Test Events. The only difference between a Test Event and an actual Event is the absence of the prerequisite trigger; see SC 3,i. criteria. A Test Event may be scheduled on a day-ahead/or day-of basis on any applicable weekday or weekend within the operational parameters contained herein. If an actual event is not initiated by late summer a test event will be called during the peak months of August or September. D

15. Utility Reporting: The Utility will provide the Commission with a periodic report on the performance results of this schedule. The report may contain information on individual Participant performance, which will be provided to the Commission under applicable confidentiality protections. Participants must agree to allow the Utility, the California Energy Commission ("CEC") and their respective agents, employees, contractors, representatives and designees to conduct a site visit for measurement and evaluation and agree to complete any surveys needed to evaluate the Program. Furthermore, Participants shall provide all load data and background information, under appropriate confidentiality protections needed to complete this evaluation. The data may also be made available to academic researchers, under appropriate confidentiality protections, to facilitate the understanding of demand response.

16. Failure to Reduce Energy: A failure to comply with an Event will result in the applicable penalty provisions (including the payment therefore by the Participant incurring such penalty) being applied as described herein.

17. Use of Prohibited Resources: Any Customer that has a Prohibited Resource, as defined in the Applicability section of this Schedule shall ensure that such Prohibited Resource is not used to reduce load during a Demand Response event.

a. Customers are required to submit attestations in order to participate in this program. New or existing customers who do not agree to the prohibition and do not submit an attestation cannot participate in CBP. Attestations are subject to verification and may require data requests and premise access to verify. SDG&E will collect the attestations via aggregators and store attestations. Customers must attest to one of the following conditions:

i. Customer does not have a Prohibited Resource on-site.

ii. Customer does have a Prohibited Resource on-site and will not use the resource to reduce load during any demand response event.

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

17. Use of Prohibited Resources: (Continued)

a. (Continued)

iii. Customer does have a Prohibited Resource on-site and may have to run the resource(s) during Demand Response events for safety, health, or operational reasons. These Customers must provide the Default Adjustment Value (DAV) which is the nameplate capacity value of the Customer's Prohibited Resource for the same service account, then the DAV will be the sum of the nameplate capacity value from all Prohibited Resources electing to be used to reduce load during a Demand Response event on the same site. Customer's capacity and energy payment will be reduced by the DAV.

b. Third-party aggregators shall use SDG&E's "Notice to Add or Delete Customers by Aggregator form" (142-05303) for adding new customers, to provide updates to existing customer information and to record the Customers Attestation of Prohibited Resources. T T T

c. A Customer may update its attestation at any time (including when they switch from a prohibited, fossil fuel-based resource to a renewable fuel-based resource and vice-versa). It is contingent upon customers providing documentation that confirms the operational change and renewable certification from the California Air Resources Board for the Customer's service account with any of the following changes, if the change is verified and approved by verification administrator or SDG&E:

i. Add or remove an onsite Prohibited Resource.

ii. Change the status of the use of Prohibited Resource(s) to reduce load during any Demand Response event.

iii. Change the Default Adjustment Value (DAV) due to a documented change in the operational status of a Prohibited Resource associated with the Customer's service account.

d. Proportional cost burdens for the Verification Administrator and the implementation of the verification plan may be shared by the customers on this Schedule.

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

18. Prohibited Resource Compliance: Customer compliance will be subject to verification.

a. Violations and Non-Compliance:

	Type 1 Violation:	Type II Violation:	
Description	1. Minor clerical or administrative errors that may be resolved with an updated attestation and do not involve the use of a prohibited resource to reduce load during a DR event.	1. Using prohibited resource(s) to reduce load during a DR event despite attesting to not doing so, and/or 2. Submitting an invalid nameplate capacity for a prohibited resource(s) under Attestation Scenario 3. 3. Actions impacting and violating prohibited resource verification process.	T T T
Scenario(s)	1. Existing customer attests to not having a prohibited resource on site, but in fact has a resource on site. However, customer did not use the resource to reduce load during a DR event. 2. Customer reports a higher-than-actual nameplate capacity. 3. Customer fails to respond to the Verification Administrator with timely and accurate information when a clerical or administrative error is discovered. 4. Customer has a fuel cell (baseload producing) Prohibited Resource, doesn't submit timely meter data as requested by the verification administrator.	1. Customer attests to not using a prohibited resource on site. However, customer used the resource to reduce load during a DR event. 2. Customer reports a lower-than-actual nameplate capacity. 3. Monitoring equipment that becomes damaged or missing while installed during the verification period. 4. Customer does not cure a Type One infraction by coming into full cooperation with the Verification Administrator within 60 days.	T T T T T

(Continued)

SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

18. Prohibited Resource Compliance: Customer compliance will be subject to verification.

a. Violations and Non-Compliance: (CONTINUED)

Resulting Actions	Existing customer has 60 days from date of notice to cure non-compliance. If an attestation is not submitted within 60 days (uncured non-compliance), the customer will be removed from the Utility's tariff schedule and /or the aggregator's portfolio until an attestation is provided.	A single instance of non-compliance will result in customer removal from the schedule and ineligibility to enroll in any DR program for 12 calendar months for the removal date. Two or more instances will result in the same removal and ineligibility terms for three years. Customers who are sampled for inclusion in the annual Verification Plan are responsible for monitoring equipment that becomes missing or damaged while it is installed on the customers' Prohibited Resources
Refusal to Accept Prohibition as Term of Participating in Utility or Third-Party Aggregator DR Program		
Description	Customer does not agree with prohibition requirement as term of program participation.	
Result	Customer is not eligible to participate in the affected DR program until such time customer agrees with prohibition and submits an attestation.	

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SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

19. Third Party Audit: All participants on this Schedule must provide facility access for site visit and comply with all third-party audit data requests associated with the attestation of Prohibited Resources within 20 working days after notice.

20. Emergency Generation Limitations: Participating customers are prohibited from achieving energy reductions by operating backup or onsite standby generation.

21. Dispute Resolution: Any dispute arising from the provision of service under this schedule or other aspects of the Program will be handled as provided for in the Utility's Rule 10, Disputes.

22. Term: Except as set forth below, each Participant must remain in the Program for a minimum of 12 calendar months ("Minimum Term") unless (a) the Program expires earlier, or (b) such Participant's Program contract with the Utility (that is, the Customer Contracts in the case of customers and Aggregator Contracts in the case of Aggregators) expires or terminates earlier. After the expiration of the Minimum Term, Participants may terminate its Program contract with the Utility and its participation in the Program by submitting to the Utility written notification of such termination, which termination shall be effective on the date that is the later of (i) the beginning of the calendar month that is immediately after the expiration of the Minimum Term, and (ii) the beginning of the calendar month that is closest to but at least thirty (30) calendar days after the Utility receives such notification. D D D

    Opt-outs under CPUC Resolution E-4754 exception shall be effective on the beginning of the calendar month that is immediately after the date when Utility receives written customer notification for the opt out. D D

    In the event of termination of an Aggregator Contract between an Aggregator and Utility, the customers whom such Aggregator represented under such Aggregator Contract will have fourteen (14) days from the date of receipt of notice of such termination by Utility in which to continue their participation in the Program in respect to the represented service meters through another Aggregator or directly with Utility without the designation of an Aggregator. Customers electing the foregoing must submit a "Notice to Add or Delete Customer by Aggregator" (Form 142-0503) setting forth their election. If such customer does not submit such form by such 14-day period, such customer will be deemed to have elected to continue their participation in the Program with respect to such service meters directly with the Utility without being represented by an Aggregator. T

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SCHEDULE CBP

CAPACITY BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

23. Data Collection Devices: Per Decision 22-12-004, Utility reserves the right to install data collection device(s) in combination with transformers at customer participating sites in the support of the Demand Response Prohibited Resources policy verification Plan. The data collection devices will be installed at no charge to the Aggregator or the participating customer. The data collection devices will be used solely for evaluation purposes and can be installed at any time during the program season. T

If a customer does not cure a Type One infraction as defined in special condition 18 by coming into full cooperation with the VA within 60 days, that customer has committed a Type Two infraction. As established in Resolution E-4838, the customer will be removed from their demand response program immediately and not allowed to re-enroll in another program that is subject to the Prohibited Resources Policy for a period of one year. If a customer has previously committed a Type Two infraction, the penalty for each subsequent Type Two infraction will be removal from their demand response program and a prohibition on re-enrolling in another program that is subject to the Prohibited Resource Policy for a period of three years.

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